CONFIDENTIAL

Report to Investors in The Children's Investment Fund

Period: 1st April 2005 to 30th June 2005

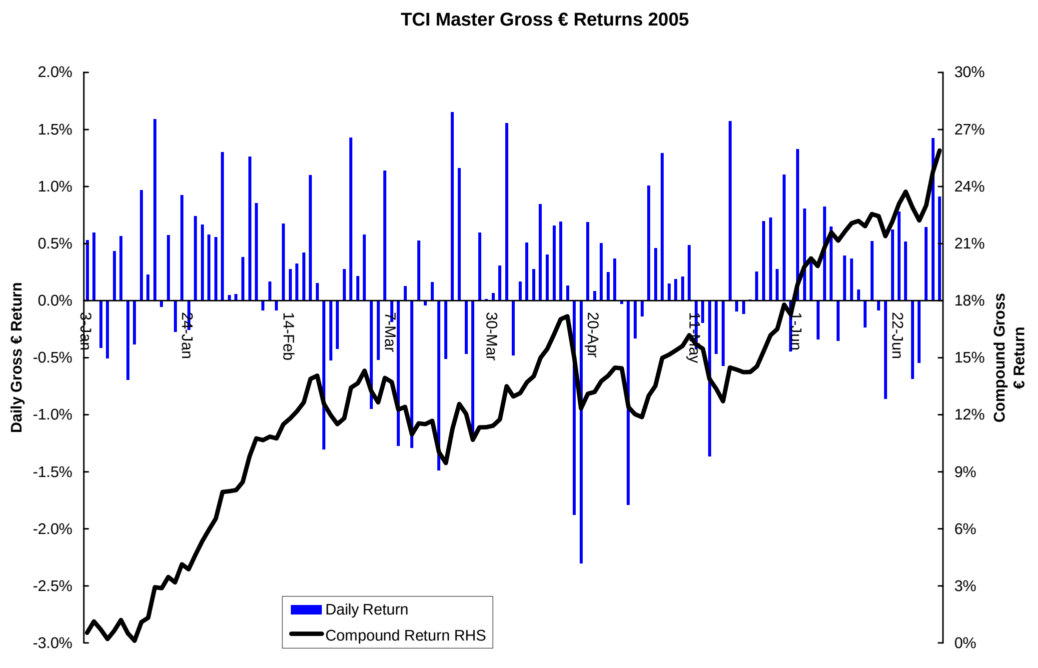
Dear Investor

Returns

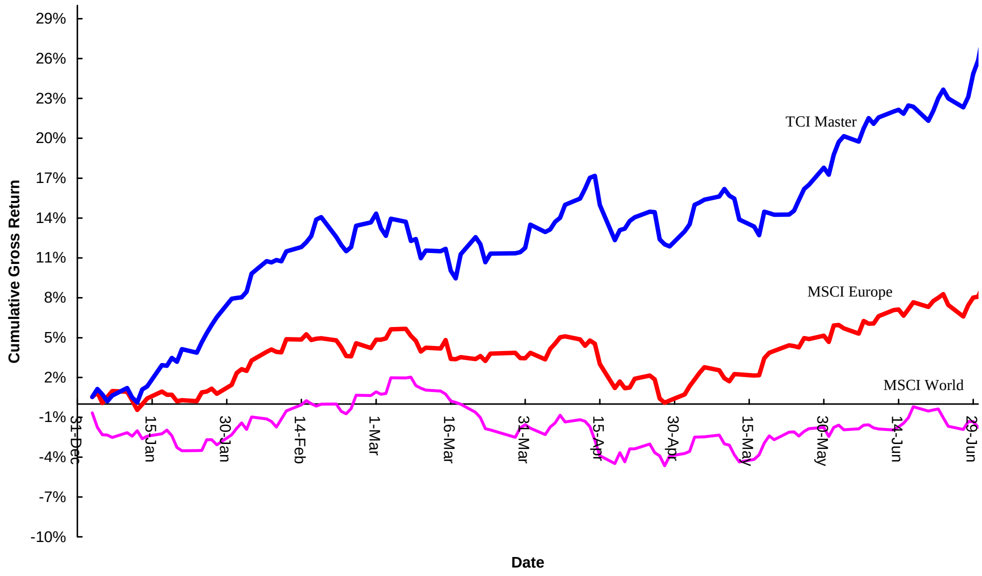
Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) $	Class B (5yr) $	MSCI Europe (€)	SP500 ($)	MSCI World ($)
January 05	1,960.4	+6.45%	+6.68%	+1.45%	-2.53%	-2.31%
February	2,265.0	+3.80%	+3.90%	+2.72%	+1.89%	+3.01%
March	2,274.7	-1.07%	-1.07%	-0.74%	-1.91%	-2.17%
Q1		+9.31%	+9.65%	+3.44%	-2.59%	-1.55%
April	2,501.6	-0.02%	-0.02%	-3.07%	-2.01%	-2.39%
May	2,885.7	+3.46%	+3.59%	+4.40%	+3.00%	+1.52%
June	3,270.9	+6.15%	+6.35%	+3.24%	-0.01%	+0.71%
Q2		+9.77%	+10.13%	+4.48%	+0.91%	-0.21%
2005		+19.99%	+20.75%	+8.07%	-1.70%	-1.76%
Inception 1/04		+70.33%	+73.46%	+18.26%	+7.14%	+10.85%

Sources: Citco Fund Services; Bloomberg LP



TCI Master (€) vs MSCI Europe (€) & MSCI World ($) 2005



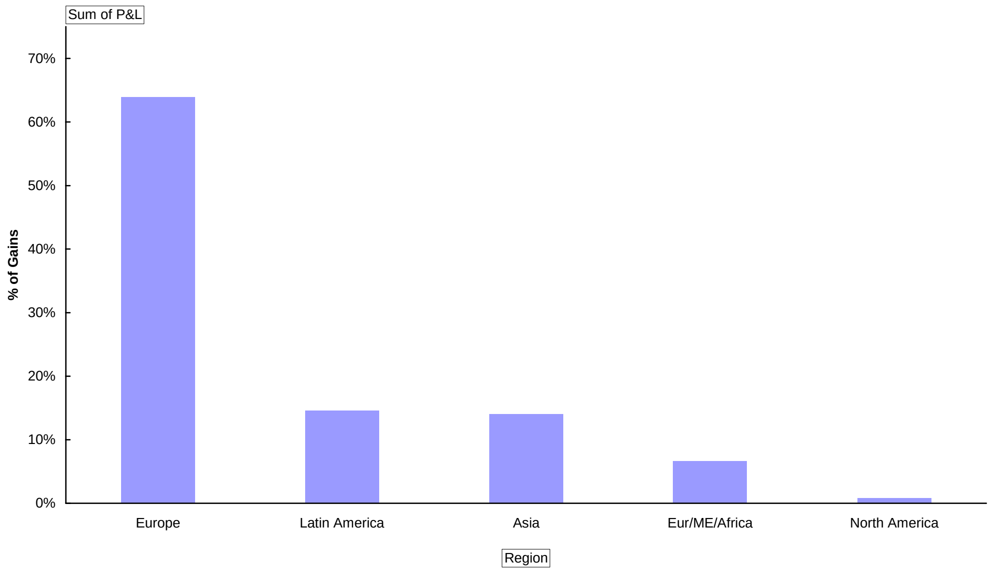
Attribution Analysis

Nearly all of our ten largest positions made significant profit contributions during the quarter. The details are shown in Appendix 1.

The graph below is the proportion of raw trading gains by geography. It excludes interest income and expenses and currency hedging gains or losses.

Consistent with the current structure of the fund, only long positions contributed materially to portfolio performance. 65% of trading gains were made in European equities (74% of net assets were in European equities at quarter end).

Trading Gains in the Quarter



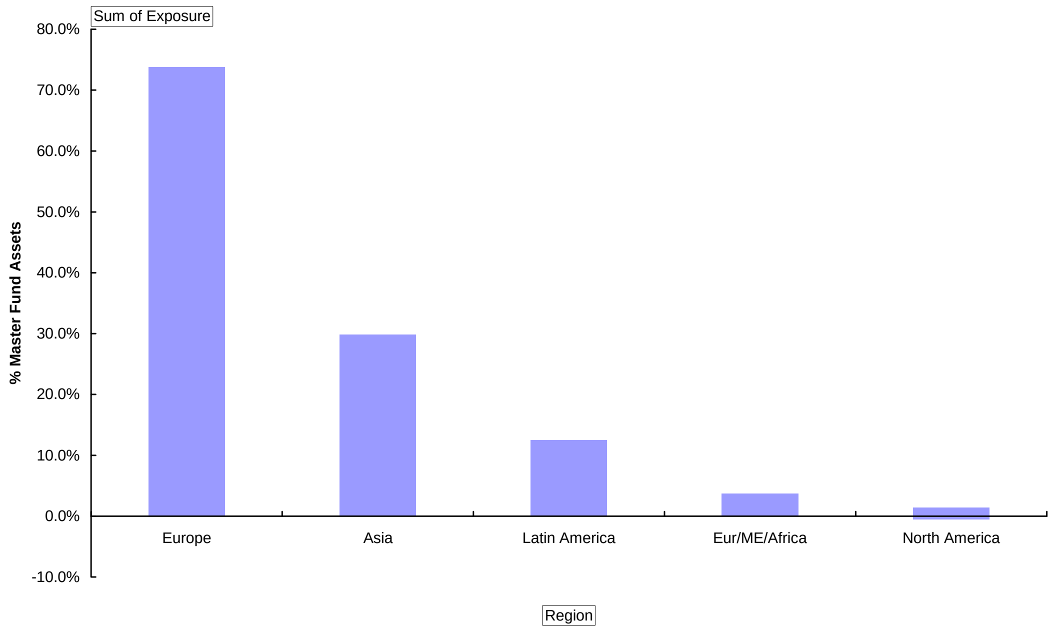
Exposure Summary

Period	Outright Longs	Outright Shorts	Long side of Share Class Arbitrage	Short side of Share Class Arbitrage	Gross	Net
End January 05	122.3%	-5.5%	27.4%	-18.9%	174.1%	125.3%
End February	125.4%	-5.0%	16.6%	-14.2%	161.2%	122.7%
End March	129.5%	-5.2%	16.4%	-13.6%	164.7%	127.1%
End April	129.7%	-4.4%	13.4%	-11.1%	158.6%	127.6%
End May	120.6%	-4.2%	9.7%	-8.2%	142.6%	117.9%
End June	123.1%	-3.6%	8.5%	-7.2%	142.4%	120.8%

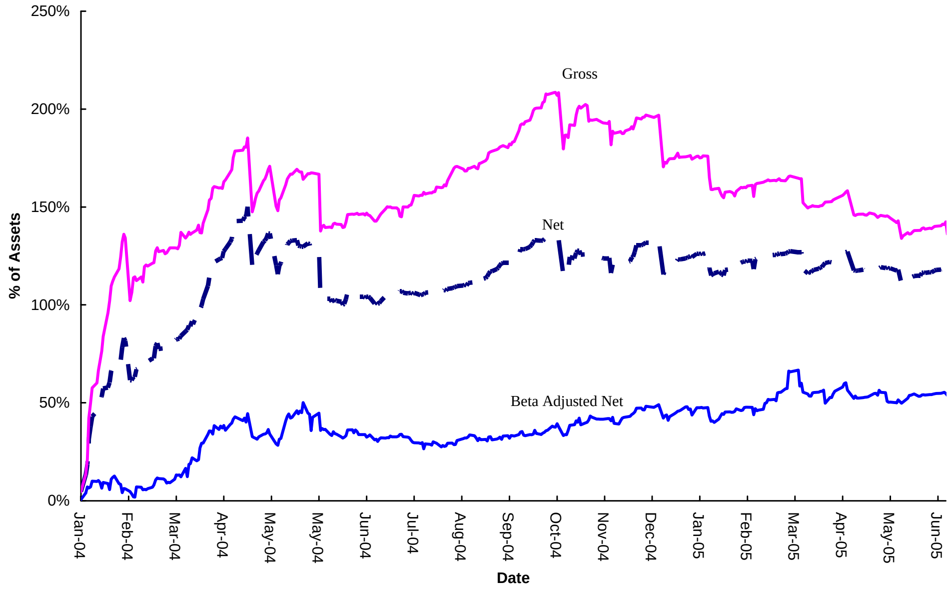
% of Master Fund Net Assets

At the time of writing, the Master Fund's net long exposure was 117%.

Geographic Exposure



TCI Master Fund Exposure Since Inception



Portfolio Update

Deutsche Boerse

During April we attempted privately and publicly to persuade the management and board of Deutsche Boerse that, in the light of the aborted bid for the London Stock Exchange, there was a need for board changes to improve corporate governance and management. We were unsuccessful in this and so during April we formally tabled a motion for the AGM shareholder vote calling for the immediate removal of the Chairman of the Supervisory Board (and also Deutsche Bank), Rolf Breuer. On May 9th, the Board of Deutsche Boerse terminated the contract of the CEO, Werner Seifert, with immediate effect. In addition, Rolf Breuer and 3 additional board members announced they would also resign. The CFO, Mathias Hlubek, has taken over as a temporary CEO.

A new board is currently being assembled and a CEO search process has begun. We believe that the corporate governance and shareholder focus on the company will be substantially improved as a result of these changes.

The business has continued to perform extremely strongly with cash and derivative volumes up year to date by 8% and 16% year on year respectively. Given the very low incremental costs and capex to grow volumes this has a magnified impact on profits. On the current run rate, the business is on track to deliver close to 5 euros per share of free cash using a post buyback number of shares giving a fast growing free cash flow yield of 7.5-8% despite the approximate 50% appreciation of the shares on our average cost. This free cash yield takes no account of significant cost cutting potential, additional leverage and optionality on mergers. So we continue to see significant upside in the shares.

As we highlighted in an earlier email to investors, the German stock market regulator, BaFin, has launched an investigation into several funds, including TCI, Fidelity

Investments, Capital Research, Merrill Lynch and Atticus, to establish if they acted in concert to attempt to control the company. The theoretical penalties could involve a bid for the company if in excess of 30% of the shares are deemed to be in concert at an estimated price of around 50 euros (current price 66) and fines. We have complied fully with BaFin's request for information and believe strongly that we have not acted in concert. Under the law, shareholders are fully permitted to make their views known to other shareholders as we have done. We will contest any actions taken against us by BaFin, through the legal system if necessary. It is our belief that the investigation is politically motivated, since this type of shareholder rebellion had never been seen before in Germany and many politicians, including the Chancellor and Finance Minister, publicly expressed their opposition to such activist investing.

There has also been an investigation by the Ministry of Economics of the State of Hesse into our conduct, including the issue of if we acted in concert with other shareholders. This investigation has cleared us of any wrongdoing and a copy of the letter summarizing this is attached.

We would like to emphasise that we acted as we did because of our fiduciary obligation to protect your investments with us which we felt were seriously threatened by the actions of management and the board. As shareholders, we have every legal right to uphold our ownership interests irrespective of the criticism which we have faced. Last week, for example, we were publicly attacked by the CEO of the largest publicly listed hedge fund group, MAN plc (whose sales of hedge funds in Germany had suffered a significant decline), for our actions and told that we should sell our shares if we did not like the actions of the management of the companies in which we invested. Whilst this may sometimes be a good course of action, we believe that there will be a strong correlation over time between the corporate governance in our investments and their shareholder returns.

Euronext

The major upcoming event for Euronext is the outcome of the regulatory investigation into their takeover offer for the London Stock Exchange by the Competition Commission in the UK. It is our belief that, irrespective of the outcome of this investigation, shareholders (and management) will not permit a bid above £5 per share; the Board of LSE is seeking an offer above £6 per share. Whilst a hostile bid is possible, we see it as unlikely. The fundamental problem with the combination is that the board of LSE want all the synergies for themselves, which is not possible given both the likely need for user price reductions as a regulatory condition of a deal and the need for upside for the Euronext's shareholders. The Euronext business has also continued to be strong and we believe that the historic fee reductions, seen historically as so disconcerting to the investment community, are probably coming to an end.

LG Corp

We completed our exit from our long position in LG Corp during the quarter making well over a 100% return on our investment.

Infosys
We exited this position with a profit of some 8% of capital employed during the issuance of approximately $1bn of ADR's during the quarter. During our holding period the cost of borrow increased from 1% to 9% making protracted holding of this position uneconomic at these rates, illustrating the difficulties of borrowing stocks in today's crowded world of hedge funds.

Vinci and ASF
Last week the French Government announced their intention to try to sell their holdings in their publicly listed motorway investments. We believe that this process will likely result in a value creative merger between Vinci (4% of NAV) and ASF (5% of NAV). Vinci owns 23% of ASF and the French Government 51%. The Chairman of Vinci has publicly stated that "one way or another they must combine". This news has caused continued strong appreciation of our holdings in both stocks.

Cemig
The fund has made new investments of around 11% of NAV in several Brazilian electric utilities. Our largest position (7.5% of NAV) is in Cemig. Cemig at our entry price was trading at around x 5.5 free cash flow with structural inflation indexation making this a real return. The business is one third distribution (regulated with an 11% real rate of return) and two thirds generation (largely unregulated). The generation assets are all hydroelectric and we believe purchased at 70% of replacement cost, assuming suitable sites could be found. We are bullish on electricity prices in Brazil over the long term - this is not important for Cemig's earnings for the next 5-7 years because they have contracted most of their output over this period at fixed prices, but will uplift earnings materially once this period is over. In Europe or the US this business would trade at x 3 the valuation. We do not expect such a rerating because of the higher cost of capital in Brazil but believe that 50% upside to our entry price should be achievable.

The major reasons that the stock is so cheaply valued are (1) very high real interest rates in Brazil (14% overnight and 10% one year forward) and (2) a fear of political interference into the operations of the company. At the annual investor meeting for this $4.5bn market capitalization company we were the only foreign shareholders in attendance reinforcing our clear view that this is a highly out of favour investment. We think that both reasons why the stock is cheap will change over time. With respect to real interest rates, we think that real rates in Brazil (the highest in the world) will fall significantly since they do not need to be so high today and the biggest loser is the government itself due to its high debt burden.

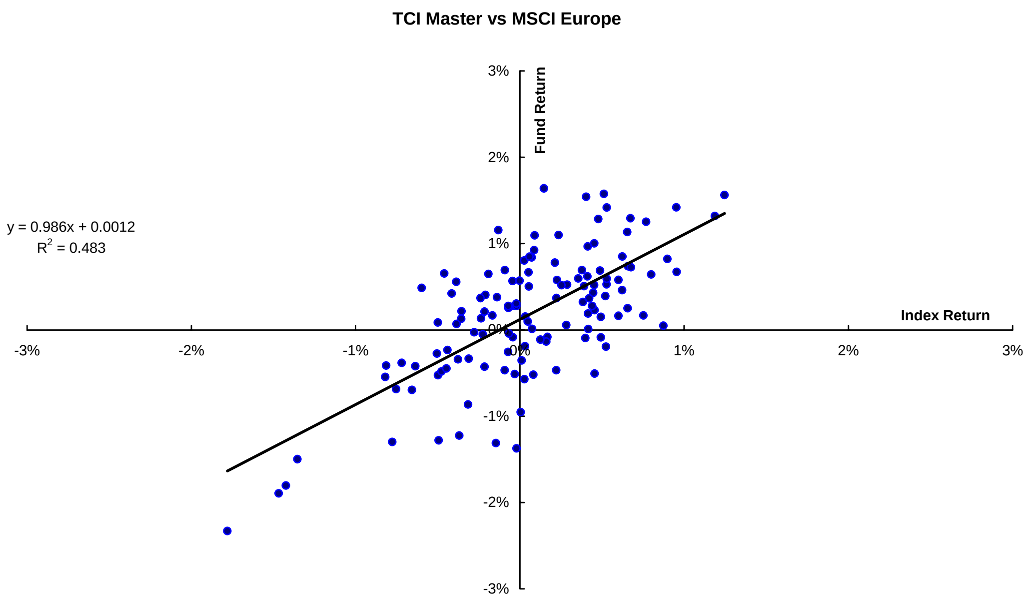
Cemig is controlled by the state of Minas Gerais and our view, based on extensive meetings with the regulators, the board, and management, is that the company will be properly run for shareholders. One key component of this view is the fact that the country will run into a deficit of electricity within three years unless investment is encouraged by strict enforcement of the allowed returns and contracts. Also, without profits and without double the current level of spot electricity prices, the companies will not have capital or profit motive to invest in new projects. The Chairman of Cemig is the former chairman of CVRD, the giant iron ore company, and we believe is very focused on ensuring that shareholders are properly treated and reducing the political risk discount associated with the stock.

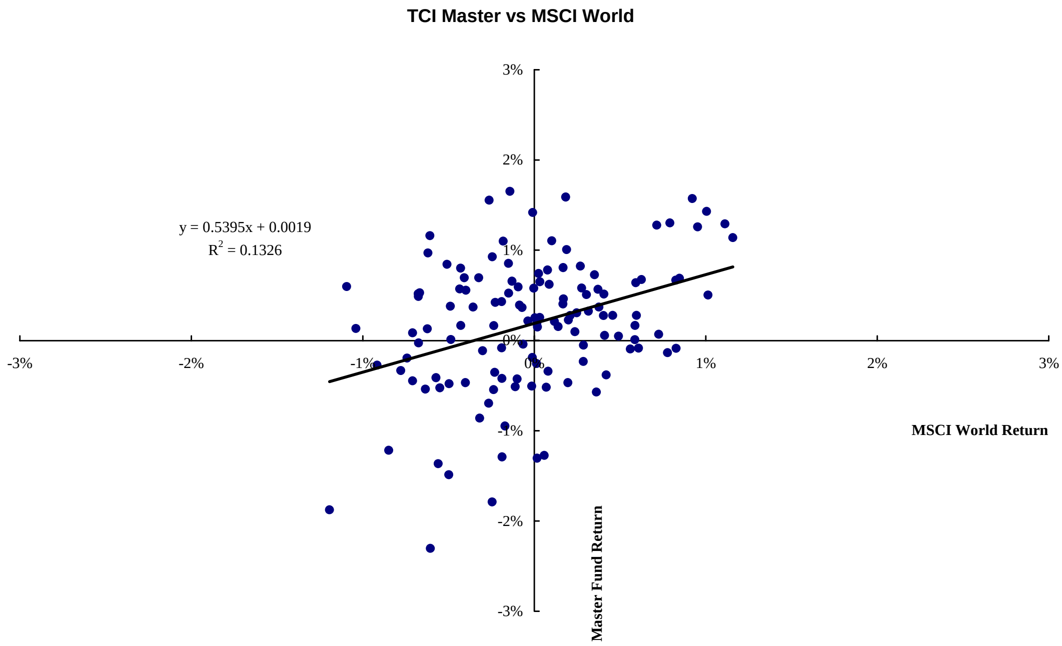
Cemig has made a commitment to pay out a minimum of 50% of earnings in dividends and, every second year, pay out all excess cash not invested. This should lead to a minimum 8% dividend yield. One way that we view this investment is that we have bought a 30 year bond with a cash yield of close to 20% real. Such a bond does not exist in Brazil where most bonds extend to maturities of only 1-3 years. It is worth noting that all our Brazilian investments are unhedged with respect to currency due to the very high cost of so doing. Our view is that fundamentally the currency is fairly valued but, because it has strengthened significantly over the last year, may well experience weakness in the future.

Our other investments in the Brazilian electricity sector include a stock with a sustainable 15% dividend yield (increasing with inflation) where we own 1.5% of NAV. We do not expect to materially increase our Brazilian investments above the current 11% of NAV given the higher political, economic and currency risks involved in investing there.

Market Correlation This Year to Date

The beta of the portfolio to MSCI Europe has been close to one this year to date. We do calculate our beta adjusted net (to European equities) and show it in our exposure chart above at around 50%. We believe this calculation is less relevant now that so much of the portfolio is outside of European markets. To make up for this, we show in the appendix the two year beta of each top ten position to its underlying market. Additionally, we have calculated the beta of the portfolio to MSCI World as 0.48 in calendar 2004 and 0.54 in 2005 to date and show below the scatter plot of the Fund this year to MSCI World.





Foreign Currency Exposure

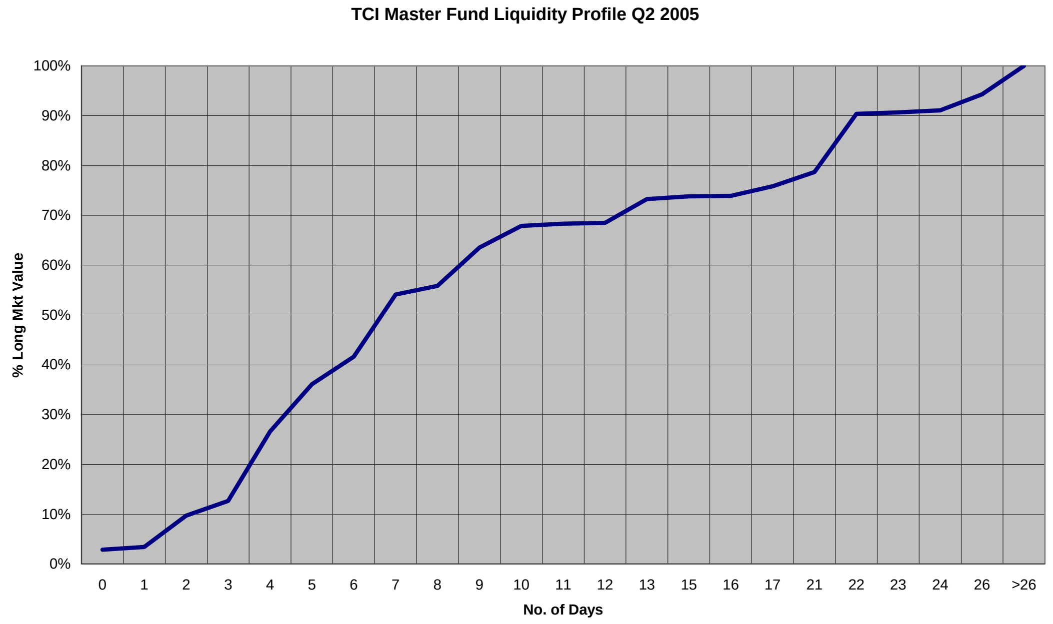
The Fund continued to hedge its material non-base currency exposure as a general rule. Some currency exposures were left unhedged and these are shown below with their quarter end net positions.

Summary of unhedged currency exposures -

Russia	1.3% net long
Malaysia	1.3% net long (pegged against the US Dollar)
Mexico	0.4% net long
Indonesia	0.7% net long
Turkey	1.5% net long
Brazil	12% net long

We built positions in Brazilian equities through the quarter. The dollar weakened by 12% against the Brazilian real during the quarter and we estimate that this contributed as 0.7% to portfolio performance in the period. The dollar was mixed against other unhedged currencies and we think that their contribution to performance was immaterial.

Liquidity Analysis



nb: Analysis is based upon long positions only, including long side of share class arbitrages

There has been a reduction in the overall liquidity of the portfolio. For example, last quarter, 55% of longs were five days volume of less and this quarter it is 36%. Similarly, 68% of longs are ten days volume or fewer compared to 85% last quarter. Much of this reduction is associated with the increase in our exposure to Brazilian equities (see above). We are willing to take this increased illiquidity and country risk because of the huge valuation case that we see in these stocks.

Use of Swaps and Credit Risk

In the management of your portfolio, we have frequently implemented investment decisions in the form of equity swaps rather than in physical equities themselves. An equity swap on a share gives the portfolio the same economic exposure as a position in the physical share but the swap does not confer legal ownership of the shares.

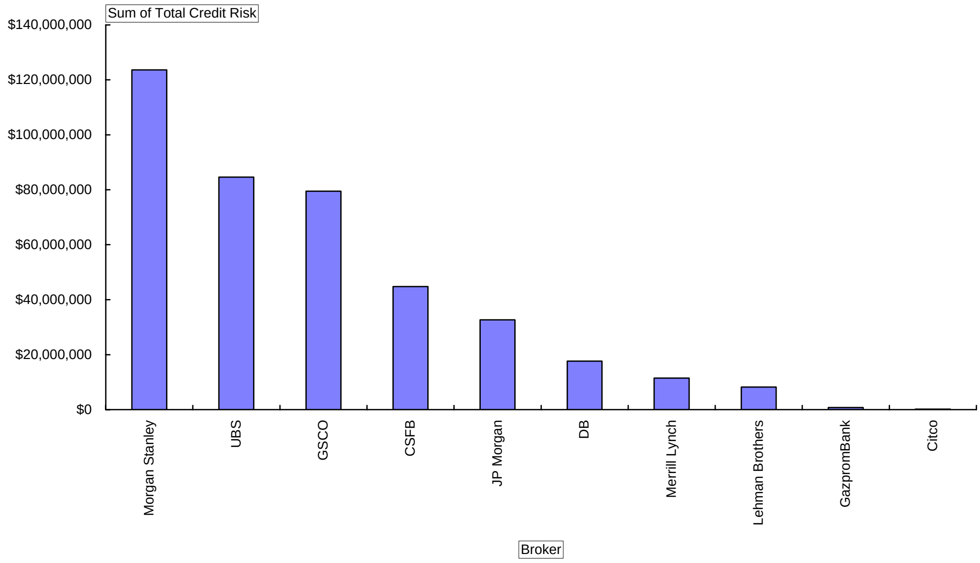
The swap counterparty often has a superior tax position compared with the Master Fund and so is able to share some of these benefits with the Fund. For example, a holding in physical shares in Korea attracts a tax on dividends of 27.5%. The same position in swap gives an effective tax rate of c.9%. So, for a 5% dividend yield stock this is a benefit of (27.5-9%) x 5% = c 1% per annum.

In the case of India, for example, we hold shares in swap because we are legally precluded from owning equities (which in any case incur a tax of 10% on short term gains). In Brazil, there is a 15% capital gains tax which can also be avoided by executing in swap form.

Whilst we measure the exposure of the swap as the market value of the underlying position, the counterparty will ask that we post only collateral (margin) for the position. This means that the fund has more cash and cash equivalent positions at prime brokers and swap counterparties than it would otherwise have had, compared to taking its exposure in physical shares.

We have managed the resultant credit risk by (1) adding prime brokers and swap counterparties as the Master Fund has grown and (2) holding a large proportion of liquidity in the form of short dated government bills in the Fund's name. We believe that the advantages brought by swap positions have outweighed the associated credit risks. In total, over $400m is at risk from counterparty default in which we have included cash balances and unrealised P&L from both forward fx transactions and equity swaps.

Counterparty	**Underlying Value Swaps, $m**	**Counterparty Risk, $m**
Goldman Sachs	795	79
Morgan Stanley	761	124
UBS	304	85
CSFB	118	45
JP Morgan	73	33
Deutsche Bank	70	18
Merrill Lynch	38	11
Lehman Brothers	27	8
Total	**2,186**	**403**



source: TCI Fund Management (UK) LLP

It is our policy not to take excessive credit risk in the management of the balance sheet of the fund. A rule of thumb that we are currently using is to avoid having more than 4% of Fund NAV exposed to any single counterparty's credit risk.

Outlook and Opportunity Set

We are actively examining more activist opportunities, including some in Asia. It is clear to us that this will be a future theme for us. With regard to asset size we feel comfortable with our existing assets and do expect to recycle capital increasingly from some of our existing positions going forward. We are focussed very much on delivering good risk adjusted returns with low risk of permanent capital loss and believe that the portfolio will achieve this over the medium term. Both I and the Foundation materially increased our stakes in the Fund on July 1.

Private Equity

The TCI Master Fund has the ability to invest up to 5% of assets into private equity. We have concluded that we are likely not to use this facility in this fund. This is because it would be most equitable to sidepocket any private equity investment due to valuation difficulties but we feel that the additional operational burdens for so doing are too great. We are most likely to pursue a compelling private equity opportunity in a separate vehicle. At this point in time we are not looking for private equity investments but they do occur periodically.

TCI New Horizon Fund

We have continued to develop the New Horizon proposition and introduced many investors to Madhav Bhatkuly. Interested investors will shortly be sent a draft offering memorandum, comments upon which we welcome. We have already received commitments in excess of $100m. Madhav has continued to build out his team and we expect the TCI New Horizon Fund to launch at the end of the summer.

The key terms of the fund are:

- Mauritius domiciled fund
- Long only exposure to Indian equities, fund to be dollar denominated
- Exposure achieved through equity swaps and participatory notes until such time as Foreign Institutional Investor status won.
- May infrequently move to high levels of cash, considering using index derivatives so to implement
- Currency hedged class will be considered if sufficient investor demand
- 1.5% management fee
- 1, 3 and 5 year locked up share classes with 4 months notice and 50% “gate” provision
- 1 year class has 15% incentive fee, no hurdle
- 3 year class has 15% incentive fee with hurdle increasing each year by the one year risk free rate
- 5 year class has 12% incentive fee with hurdle increasing each year by the one year risk free rate
- Key man risk on Madhav Bhatkuly
- $5m minimum investment
- TCI Master Fund will not invest in TCI New Horizon Fund
- TCI Fund Management (Cayman) will have a 25% stake in the Mauritius-based TCI New Horizon Investments Ltd, the Manager of the proposed fund.

Investors interested in receiving marketing materials in due course should contact our COO, Doug Shaw at doug@tcifund.com .

The Children's Investment Fund Foundation
CIFF has recently hired Jurgen Schmidt as a Senior Associate. Jurgen brings tremendous experience as a medical doctor who earned his stripes in the field with MSF and Unicef in Africa and most recently worked at managing projects and negotiations in Northern Africa and the Middle East on behalf of DfID (the development arm of the UK Government).

Christopher Hohn
Managing Partner
The Children's Investment Fund Management (UK) LLP
7th July 2005

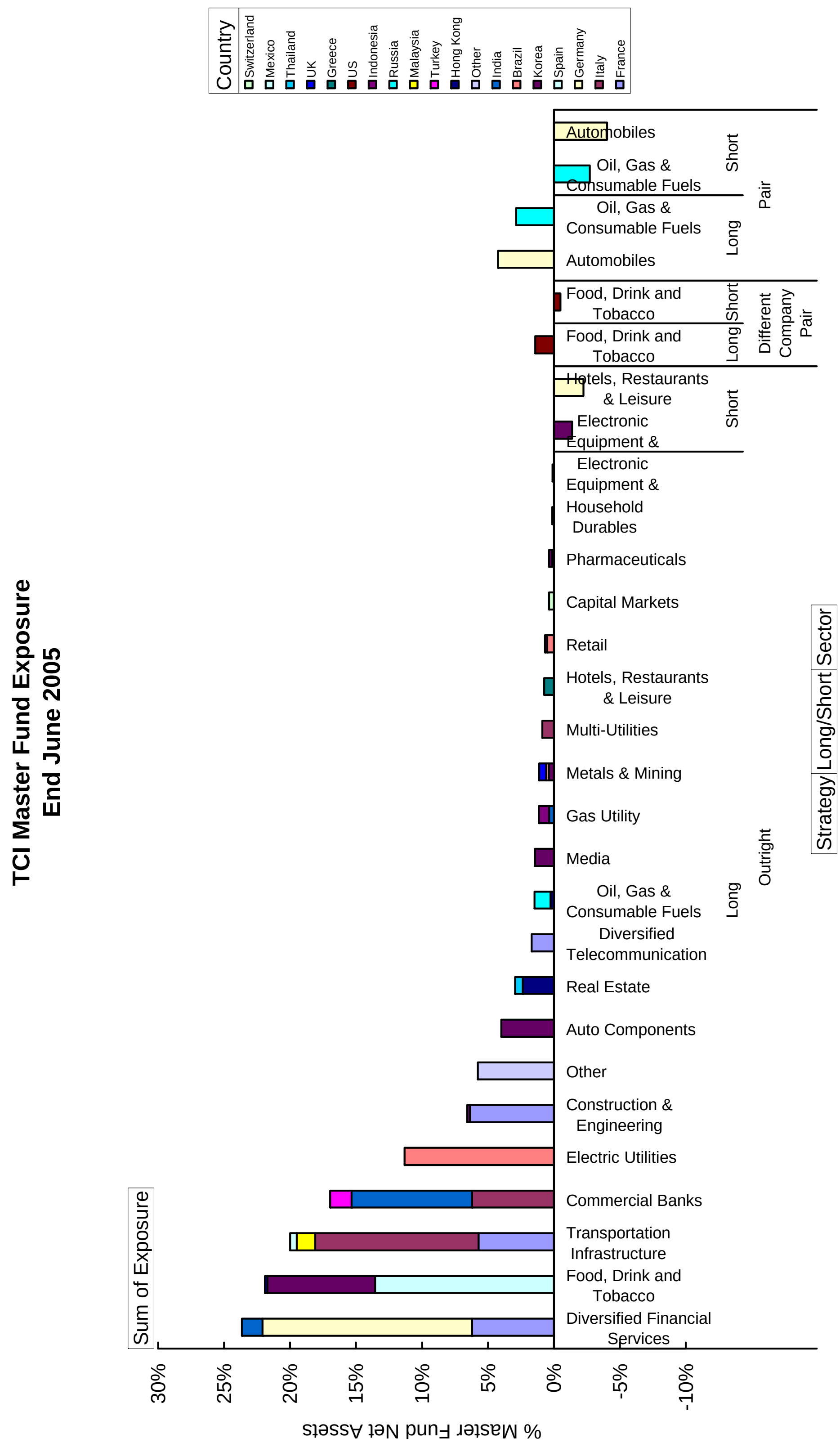
Appendix 1

Top Positions at Quarter End and Their Q2 Trading Gains

`	% Master Fund Net Assets	Country	Market Cap, $bn	% of Q2 Trading Gains	Trading Gains as % of End NAV	Beta
Deutsche Boerse	15.9%	Germany	9.0	16.8%	1.7%	0.52
Altadis	13.6%	Spain	12.0	9.4%	0.9%	0.42
Autostrade	12.4%	Italy	15.2	11.4%	1.1%	0.48
CEMIG	7.9%	Brazil	4.8	12.6%	1.2%	1.11
KT&G	7.4%	Korea	6.5	13.2%	1.3%	-0.01
EuroNext	6.2%	France	4.3	1.2%	0.1%	0.54
Unnamed Utility	5.8%	Europe	3.7	9.7%	1.0%	0.51
Auto Route Sud de la France	5.7%	France	13.3	9.1%	0.9%	-0.05
Hyundai Mobis	4.0%	Korea	6.0	1.1%	0.1%	1.11
Vinci	3.9%	France	14.6	7.6%	0.8%	0.45
Volkswagen Pref	4.2%	Germany	18.7	2.2%	0.2%	0.97
Volkwagen Ords	-4.0%	Germany	18.7	-1.3%	-0.1%	1.05
	82.9%			92.9%	9.1%	

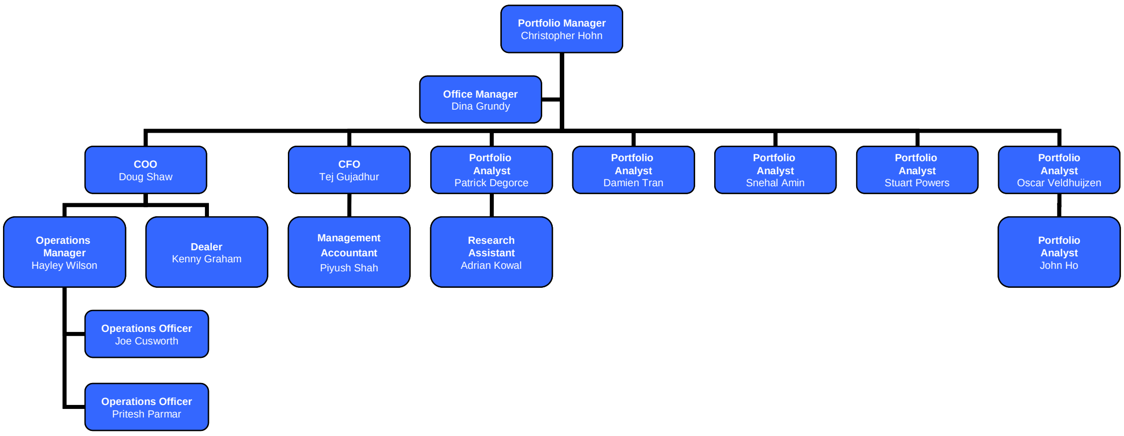
Beta has been calculated from Bloomberg taking the beta of each stock to the major index of its underlying market, taking weekly observations over a two year period

Appendix 2 – End Quarter Sector and Country Exposure



Sum of Exposure			Country																			
Strategy	Long/Short	Sector	France	Italy	Germany	Spain	Korea	Brazil	India	Other	Hong Kong	Turkey	Malaysia	Russia	Indonesia	US	Greece	UK	Thailand	Mexico	Switzerland	Grand Total
Outright	Long	Diversified Financial Services	6.2%		15.9%				1.6%													23.6%
		Food, Drink and Tobacco				13.6%	8.2%											0.2%				21.9%
		Transportation Infrastructure	5.7%	12.4%									1.4%						0.0%	0.5%		20.0%
		Commercial Banks		6.2%					9.1%			1.6%										16.9%
		Electric Utilities						11.3%														11.3%
		Construction & Engineering	6.4%				0.2%															6.6%
		Other								5.8%												5.8%
		Auto Components					4.0%															4.0%
		Real Estate									2.4%								0.6%			2.9%
		Diversified Telecommunication Services	1.7%																			1.7%
		Oil, Gas & Consumable Fuels									0.2%			1.2%								1.5%
		Media					1.4%															1.4%
		Gas Utility							0.4%						0.8%							1.1%
		Metals & Mining					0.4%	0.2%										0.5%				1.1%
		Multi-Utilities		0.9%																		0.9%
		Hotels, Restaurants & Leisure															0.7%					0.7%
		Retail						0.5%							0.2%							0.7%
		Capital Markets																			0.4%	0.4%
		Pharmaceuticals			0.1%		0.2%															0.4%
		Household Durables																	0.1%			0.1%
		Electronic Equipment & Instruments					0.1%															0.1%
	Long Total		19.9%	19.5%	16.0%	13.6%	14.5%	12.0%	11.1%	5.8%	2.6%	1.6%	1.4%	1.2%	0.9%		0.7%	0.7%	0.7%	0.5%	0.4%	123.1%
	Short	Electronic Equipment & Instruments					-1.4%															-1.4%
		Hotels, Restaurants & Leisure			-2.2%																	-2.2%
	Short Total				-2.2%		-1.4%															-3.6%
Outright Total			19.9%	19.5%	13.8%	13.6%	13.1%	12.0%	11.1%	5.8%	2.6%	1.6%	1.4%	1.2%	0.9%		0.7%	0.7%	0.7%	0.5%	0.4%	119.5%
Different Company Pair	Long	Food, Drink and Tobacco														1.4%						1.4%
	Long Total															1.4%						1.4%
	Short	Food, Drink and Tobacco														-0.5%						-0.5%
	Short Total															-0.5%						-0.5%
Different Company Pair Total																0.9%						0.9%
Pair	Long	Automobiles			4.2%																	4.2%
		Oil, Gas & Consumable Fuels												2.9%								2.9%
	Long Total				4.2%									2.9%								7.1%
	Short	Oil, Gas & Consumable Fuels												-2.7%								-2.7%
		Automobiles			-4.0%																	-4.0%
	Short Total				-4.0%									-2.7%								-6.7%
Pair Total					0.2%									0.1%								0.3%
Grand Total			19.9%	19.5%	14.0%	13.6%	13.1%	12.0%	11.1%	5.8%	2.6%	1.6%	1.4%	1.4%	0.9%	0.9%	0.7%	0.7%	0.7%	0.5%	0.4%	120.7%

The Children's Investment Fund Management (UK) LLP



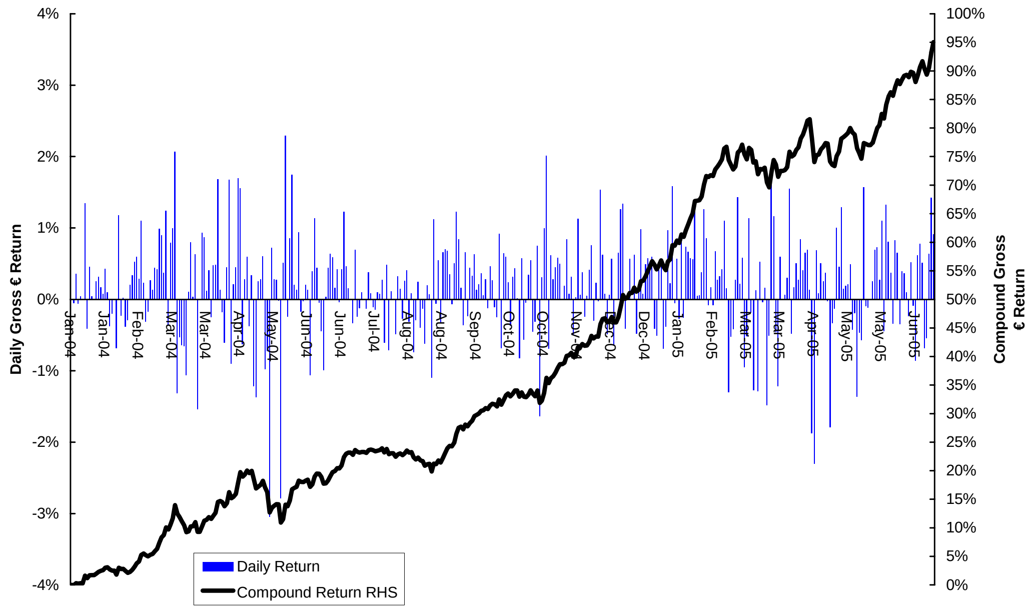
Pritesh Parmar has joined us in June as Operations Officer and Piyush Shah has joined as a Management Accountant. We are interviewing for both an investor relations role and also a compliance/legal role.

Statistical Appendix Since Inception

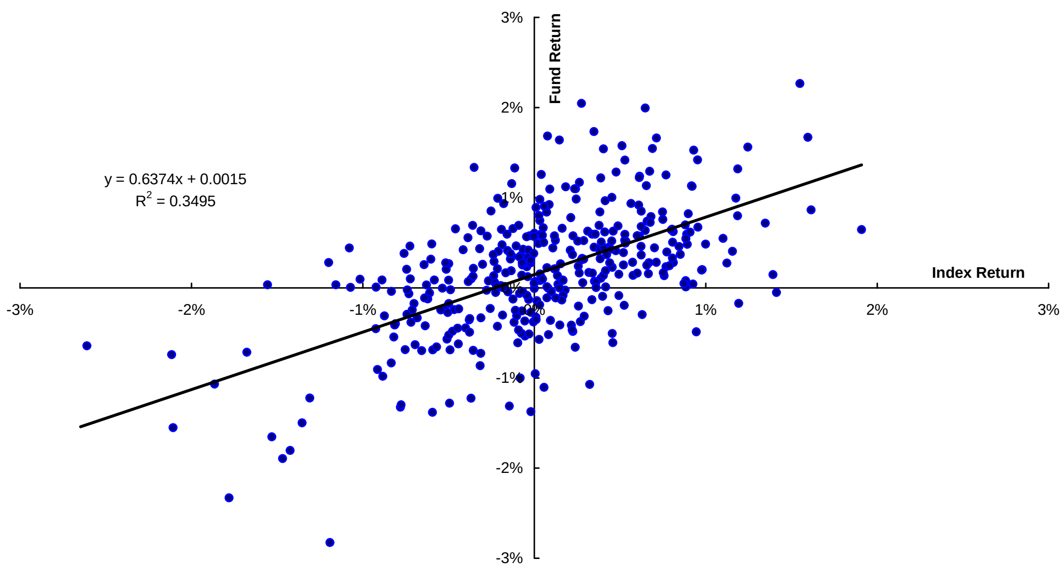
Period		Master Fund Assets €m	Class A (3yr) $	Class B (5yr) $	MSCI Europe (€)	SP500 ($)	MSCI World ($)
January 04		374.8	+1.36%	+1.41%	+1.60%	+1.73%	+1.54%
February		531.7	+5.08%	+5.26%	+2.17%	+1.22%	+1.55%
March		553.6	+2.75%	+2.78%	-2.64%	-1.64%	-0.89%
	Q1		+9.44%	+9.71%	+1.06%	+1.28%	+2.20%
April		734.6	+3.70%	+3.77%	+1.58%	-1.68%	-2.22%
May		872.1	+0.40%	+0.43%	-1.46%	+1.21%	+0.67%
June		1,081.2	+2.82%	+2.90%	+1.72%	+1.80%	+1.91%
	Q2		+7.05%	+7.23%	+1.81%	+1.30%	+0.32%
July		1,088.4	-0.24%	-0.24%	-2.15%	-3.43%	-3.34%
August		1,113.9	+0.85%	+0.88%	-0.48%	+0.23%	+0.26%
September		1,172.8	+4.86%	+5.00%	+2.33%	+0.84%	+1.77%
	Q3		+5.50%	+5.67%	-0.35%	-2.30%	-1.38%
October		1,187.3	+2.35%	+2.41%	+1.37%	+1.40%	+2.37%
November		1,434.6	+4.93%	+5.31%	+2.43%	+3.86%	+5.09%
December		1,588.5	+6.94%	+7.13%	+2.79%	+3.25%	+3.73%
	Q4		+14.85%	+15.54%	+6.73%	+8.73%	+11.59%
	2004		**+41.95%**	**+43.65%**	**+9.43%**	**+8.99%**	**+12.84%**
January 05		1,960.4	+6.45%	+6.68%	+1.45%	-2.53%	-2.31%
February		2,265.0	+3.80%	+3.90%	+2.72%	+1.89%	+3.01%
March		2,274.7	-1.07%	-1.07%	-0.74%	-1.91%	+0.28%
	Q1		+9.31%	+9.65%	+3.44%	-2.59%	+0.91%
April		2,502.1	-0.02%	-0.02%	-3.07%	-2.01%	-2.39%
May		2,855.7	+3.46%	+3.59%	+4.40%	+3.00%	+1.52%
June		3,270.9	+6.15%	+6.35%	+3.24%	-0.01%	+0.71%
	Q2		+9.80%	+10.14%	+4.48%	+0.91%	-0.21%
	2005		+20.03%	+20.78%	+8.07%	-1.70%	-1.76%
Inception 1/04			**+70.38%**	**+73.50%**	**+18.26%**	**+7.14%**	**+10.85%**

Sources: Citco Fund Services; Bloomberg LP

TCI Master Gross € Returns Since Inception



TCI Master vs MSCI Europe Since Inception



TCI Master (€) vs MSCI Europe (€) & MSCI World ($) Since Inception